

tage. But this is at bottom a quantitative rather than a qualitative matter. In our view, it is rarely possible to say *with assurance* that the long-term prospects of a particular line of business are so much better than the average as to make warrants connected with that field more attractive than any others. But if the individual speculator has definite opinions and preferences on this score, it is perfectly logical for him to follow them.

Quantitative Considerations: Importance of Low Price. It is an easier matter to point out the elements that govern the relative attractiveness of warrants from a quantitative standpoint. The desirable qualities are: first, a low price; second, a long duration; and thirdly, an option (or purchase) price close to the market. From the standpoint of speculative theory, the most important of the three no doubt is a low price for the warrant. This may be brought out by a comparison of the situation existing in the Sinclair Oil and Refining Corporation Warrants in 1917 and Niagara Hudson Power Corporation *B* Warrants in 1929.

Examples: The warrant attached to each \$1,000 Sinclair Oil and Refining Corporation note, issued in 1917, entitled the holder to buy 25 shares of stock at \$45 per share until August 1, 1918; at $47\frac{1}{2}$ until August 1, 1919; and at 50 until February 1, 1920. In December 1917 the stock had declined to $25\frac{1}{4}$, and a warrant for 25 shares could be bought at \$20, *i.e.*, at a cost of only 80 cents per share. Here the market price of the stock was far below the option price, but the option could be acquired at a very low cost per share. The sequel was quite characteristic of speculative markets. In less than 18 months Sinclair Oil stock rose to $69\frac{3}{4}$ giving a warrant for 25 shares a realizable value of over \$550. An increase of 175% in the price of the stock produced an increase of 2,680% in the price of the warrant.

The Niagara Hudson Power Corporation *B* Warrants entitled the holder to buy $3\frac{1}{2}$ shares of common for \$50, *i.e.*, at \$14.285 per share. When the warrants were admitted to trading on the New York Curb in 1929, they sold at 60—equivalent to 17 for a one-share warrant—while the stock was selling at $22\frac{1}{2}$. In this case the speculator was paying nearly as much per share for the warrants as for the stock. When the latter advanced to its high of 31 later in the year, the warrants rose by a much smaller percentage, to 21. Still later in the same year, the price of the stock broke to $11\frac{1}{4}$, and then the warrants collapsed to a low of 2. These comparative figures show that at the equivalent of 17 the Niagara Hudson *B* Warrants were selling at an extraordinarily unattractive price.